

Abdul Karim v. State of U.P.

High Court of Judicature at Allahabad · Division Bench · 1 May 2023 · WRIT - C No. 14627 of 2023 · **Demand notice quashed; fresh assessment under Supply Code left open.**

HEADNOTE

A demand notice under Sections 3 and 5 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958, for alleged theft of electricity, is quashed where the licensee admits that no final assessment order exists. The licensee may thereafter finalize the proceeding strictly in accordance with the procedure prescribed under the Electricity Supply Code, 2005, after considering the consumer's objection.

FACTUAL SUMMARY

The electricity department served Abdul Karim a demand notice dated 13 September 2022 under Sections 3 and 5 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958, requiring him to deposit Rs. 1,16,457 for alleged theft of electricity. No final assessment order had been passed. On 13 February 2023 the department gave him fifteen days to object. He filed his objection on 22 February 2023 and petitioned the High Court to quash the September demand and to have that objection decided.

REUSABLE CONSTRUCTIONS

1. A recovery demand for alleged theft cannot be raised under Sections 3 and 5 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958, before a final assessment order exists. ¶ 3-4
2. Where the licensee admits that no final assessment was made, the premature demand is quashed and the proceeding must be finalized strictly under the Electricity Supply Code, 2005, after the consumer's objection is considered. ¶ 3-4

HOLDING-UNITS

INTERPLAY · Electricity Supply Code, 2005, read with Sections 3 and 5 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958

recovery demand before final assessment

HOLDING

On the admitted fact that no final assessment order exists, the demand notice dated 13 September 2022 for Rs. 1,16,457 towards alleged theft is quashed. The electricity department may finalize the proceeding strictly in accordance with the procedure prescribed under the Electricity Supply Code, 2005, after taking into consideration the objection dated 22 February 2023. ¶ 3-4

FLAG The order invokes the Electricity Supply Code, 2005 without numbering a clause. Sections 3 and 5 belong to the 1958 Dues Recovery Act, not to the Code.

PRINCIPLE TAGS

no-recovery-demand-before-final-assessment The 13 September 2022 theft demand under Sections 3 and 5 of the 1958 Act was quashed because the department conceded that no final assessment order had been passed, with liberty only to complete the assessment under the Electricity Supply Code, 2005 after considering the objection of 22 February 2023. ¶ 3-4

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER ELECTRICITY WAS STOLEN AND WHAT AMOUNT IS ASSESSABLE

The department was left free to pass a fresh final assessment after considering the objection dated 22 February 2023, strictly under the Electricity Supply Code, 2005. ¶ 4

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.